

**SUBSTITUTE FOR
HOUSE BILL NO. 6074**

A bill to prohibit certain companies from acquiring or purchasing certain residential property; to provide for the powers and duties of certain state officers and entities; and to prescribe certain penalties, civil sanctions, and remedies.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 3. As used in this act:

2 (a) "Excepted purchase" means a purchase of a single-family
3 home that is any of the following:

4 (i) Purchased under a build-to-rent program where the large
5 institutional investor purchases newly constructed single-family
6 homes to be managed as rental properties, whether as communities
7 exclusively of renter-occupied single-family homes or as
8 communities of single-family homes that are both owner- and renter-



1 occupied.

2 (ii) Purchased pursuant to a renovate-to-rent program that
3 meets both of the following requirements:

4 (A) Substantially rehabilitates single-family homes that do
5 not meet structural or core system elements of local business
6 codes.

7 (B) Makes improvements in an aggregate dollar amount of not
8 less than 15% of the purchase price of the single-family home.

9 (b) "Large institutional investor" means an investment fund,
10 corporation, general or limited partnership, limited liability
11 company, joint venture, association, or other for-profit entity
12 that meets all of the following requirements and is not a local,
13 state, tribal, or federal government entity or instrumentality of a
14 local, state, tribal, or federal government entity:

15 (i) Is engaged, in whole or in part, in the business of
16 investing in, owning, renting, managing, or holding single-family
17 homes.

18 (ii) Beginning on the effective date of this act, alone or in
19 concert with 1 or more other entities, directly or indirectly has
20 investment control of more than 100 single-family homes in the
21 aggregate in this state, not including a single-family home
22 purchased as an excepted purchase made after the effective date of
23 this act.

24 (iii) Manages or has a net value of \$375,000,000.00 or more at
25 any point during the taxable year the investor purchases or seeks
26 to purchase a single-family home in this state.

27 (c) "Purchase" means to purchase, transfer, or otherwise
28 acquire a single-family home, including through merger,
29 acquisition, construction, foreclosure, or bulk purchase, whether



1 or not for cash consideration.

2 (d) "Single-family home" means a structure that contains 2 or
3 fewer dwelling units that are each intended for residential
4 occupancy by a single household. Single-family home does not
5 include a manufactured home. As used in this subdivision,
6 "manufactured home" means that term as defined in 42 USC 5402.

7 Sec. 5. For purposes of this act, an entity has direct or
8 indirect investment control over a single-family home if any of the
9 following apply:

10 (a) The entity owns or has primary authority or fiduciary
11 responsibility to make material investment or management decisions
12 relating to the single-family home.

13 (b) The entity is, or directly or indirectly controls, the
14 general partner or managing member of the entity that owns the
15 single-family home.

16 (c) The entity is or controls the investment manager,
17 management company, or investment advisor of the entity that owns
18 the single-family home.

19 (d) The entity owns or controls more than 25% of any class of
20 equity interests of the entity that owns the single-family home,
21 unless the entity is a passive investor.

22 (e) The entity otherwise controls the entity that owns the
23 single-family home.

24 Sec. 7. (1) Except as otherwise provided in this section, a
25 large institutional investor shall not purchase or enter into a
26 contract to directly or indirectly purchase a single-family home in
27 this state.

28 (2) The prohibition under subsection (1) does not apply to
29 either of the following:



1 (a) An excepted purchase.

2 (b) The purchase of a single-family home in connection with a
3 restructuring or other reorganization of ownership of single-family
4 homes that were owned or purchased on or before the effective date
5 of this act.

6 Sec. 9. A large institutional investor that violates this act
7 is subject to a civil fine of not more than \$25,000.00 per single-
8 family home acquired in violation of this act. The prosecutor of
9 the county in which the property acquired in violation of this act
10 is located or the attorney general may bring an action to collect
11 the fine. A fine collected must be deposited in the general fund.

